

Pershing Square Holdings Ltd (PSHP.L)

Valuation Report

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Introduction to **Pershing Square Holdings Ltd**

Pershing Square Holdings, Ltd. is an investment company organised as a closed-ended fund that is in the business of investing and maintaining significantly big positions in companies with very large market capitalization. PSH aims to maximize its long-term growth of its intrinsic value per share.

History

PSH was is a limited liability incorporation registered in Bailiwick, Guernsey in 2012. It is managed by Pershing Square Capital Management. The company provides investors with access to a concentrated portfolio of primarily North American large-cap equities, executed through an activist investment strategy. On October 1, 2014 it converted itself into a registered closed-ended investment scheme. On May 2, 2017, PSH's Public Shares were listed on the London Stock Exchange ("LSE") and commenced trading.

Business Focus

Majority of the Company's portfolio is allocated to 15 core holdings usually comprising listed North American companies with large market capitalization. The Investment Manager looks for strong and reliable business that generate steady cash flows. It works closely with its invested companies to help them grow and provide long term value to shareholder. Risk is mitigated by designing the portfolio selectively. Hedging Strategies are used to capture excess profits or to protect against losses.

Competitors

PSH, as one of the constituents of the FTSE 100 constituents and faces competition from

various companies across diverse business. Key competitors include Scottish Mortgage Investment Trust, Intermediate Capital Group Plc, Polar Capital Technology Trust.

Industry

Pershing Square Holdings is unique within the investment trust industry. While it shares structural similarities with other UK-listed closed-ended funds, its activist hedge fund strategy differentiates it from more traditional, diversified investment trusts. This positioning makes PSHP.L both a gateway for UK investors into U.S. activist.

Portfolio Company Holdings

Pershing Square Holdings have a portfolio comprising of Alphabet, Amazon, Brookfield, Chipotle, Freddie Mac, Fannie Mae, Hertz, Hilton, Howard Hughes, Nike, Pershing Square SPARC Holdings, Restaurant Brands International, Seaport Entertaintment Group, Uber, Universal.

Forecasting Company Performance

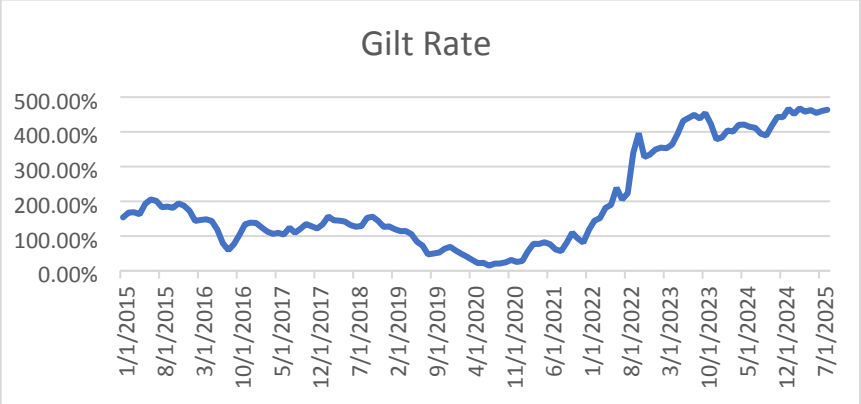
This report undertakes a comprehensive valuation of Pershing Square Holdings (PSH) using multiple approaches. Weighted Average Cost of Capital (WACC) is calculated first which provides the discount rate for subsequent models. The intrinsic value is assessed through the Dividend Discount Model (DDM), Free Cash Flow to Firm and Free Cash Flow to Equity (FCFF and FCFE), Net Asset Value (NAV) Valuation, Market-Comparable method and the Residual Income valuation.

The Effect of Tax

Pershing Square Holdings is tax exempt at the corporate level as it is incorporated in Guernsey, a jurisdiction corporate income taxes on investment funds are not levied under "The Income Tax (Exempt Bodies) (Guernsey) Ordinance 1989". The Company pays only US withholding tax which is not a part of the component of WACC and adjusted separately in FCFF.

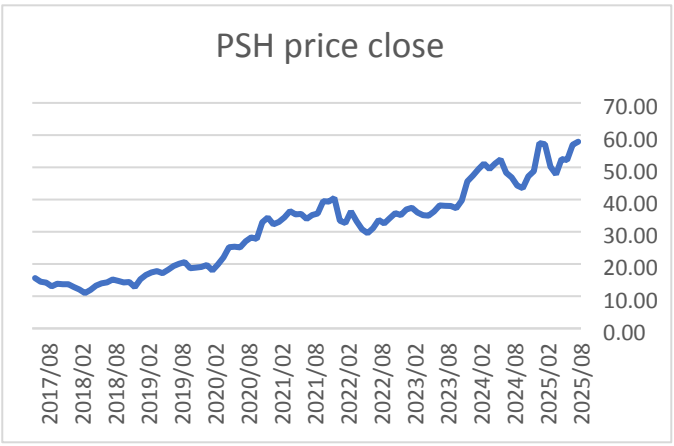
Calculation of Cost of Equity, Debt and Weighted Average Cost of Capital

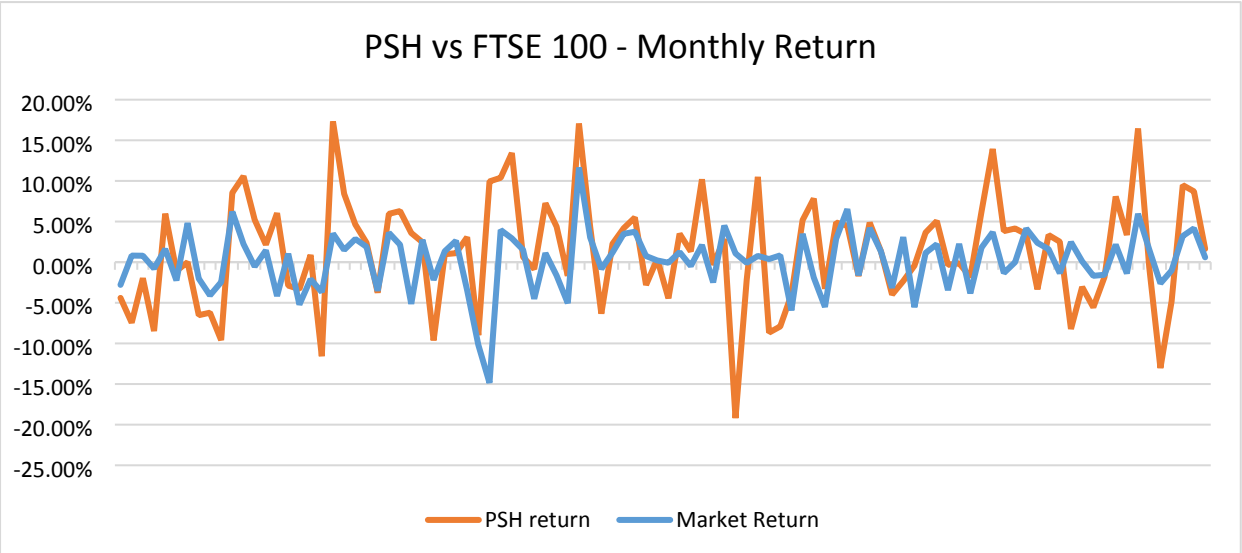
The Risk-free rate was obtained using the monthly Gilt Rate and tracked over a 10-year period.



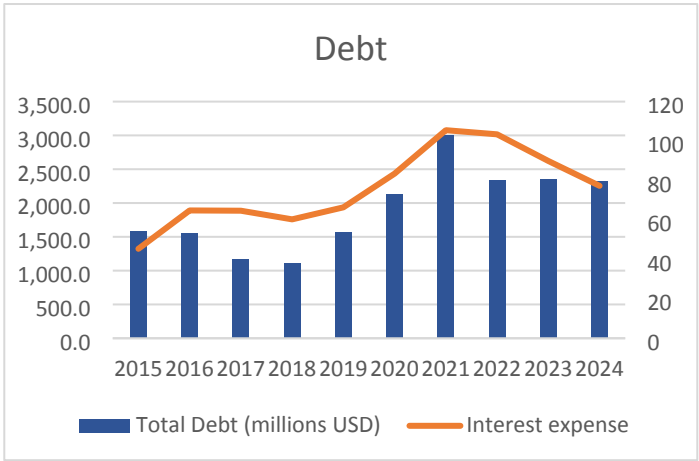
The market prices of PSH were compared to give the excess return over Rf.

The market risk premium, small minus big and high minus low premium was obtained after analysing monthly market capitalisation using the market prices and total book value to equity of FTSE 100 companies.





Regression Analysis was conducted and CAPM shows a Beta of 0.813 for MRP and 1.086 for FF3 respectively which are consistent with PSH returns being positively correlated with FTSE 100 returns. The Beta for SMB is negative which is indicative of large cap portfolio companies as it invests in large cap US stocks like Google, Nike, Amazon, etc. The Beta for HML is negative which shows tilt towards growth stocks rather than value stocks. **This is consistent with PSH having a payout ratio of only 4%** thus re-investing the 96% back into the market. The alpha and SMB coefficients are statistically insignificant, suggesting no evidence of abnormal returns beyond factor exposures and no reliable size effect. Overall, PSH's cost of equity is more affected by broad market movements and a growth orientation, rather than by size effect or alpha.



The Annualised Cost of Equity under CAPM is 8.57% using median data to avoid distortion from extreme data generated during the Pandemic. The same under FF3 model is 11.5% using average data which is consistent with the model's theoretical definitions of expected returns and offsets the covid effects within itself.

The cost of debt came to average of 4.12% however there is no effect of tax on the cost of debt.

The WACC using the FF3 model is 9.97%.

Calculation of Growth

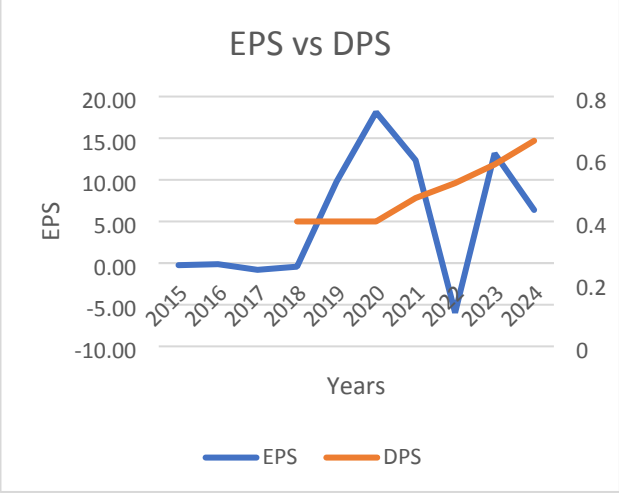
The retention ratio is 96%. The Return on Equity is 6.77%. Therefore, the growth in the short-term future is 6.49%.

The long-term nominal growth rate of USA is 4.00% as per US Congressional budget office estimate of the economy from 2025 to 2028 Economic Projections Table 1[1]. This will be used to forecast growth in the underlying performance of US companies which will be used for forecasting revenue, cash flows, etc.

The long-term nominal growth rate of UK is 3.6% as per HM Treasury September, 2025 (pg 8, table 5)[2]. This will be used for forecasting where investment sentiment matters like dividends as it is listed in the LSE.

Analysis of Payout Ratio

The payout ratio is found to be approximate 4.09% over earnings over the years which gives us retention ratio of 95.91% back into the market.



Valuation Methodologies and Analysis

Dividend Discount Model (DDM)

DDM provides a framework for valuing PSH by comparing equity value directly to the present value of expected future dividends. The Gordon Growth Model is implemented where dividends are assumed to grow at a constant rate in perpetuity.

The **Intrinsic Value (IV) per share** using DDM are $15.57 (CAPM) and $9.74 (FF3) while the actual market price was $48.67 for year ending 2024 which means that PSH is highly **overvalued**. This is due to modest dividend payout compared to earnings.

DDM is not a good valuation model for PSH because dividends represent only a small fraction of shareholder returns, while the majority of value creation comes from **NAV growth** which DDM doesn't capture.

Free Cash Flow to Firm (FCFF) and Free Cash Flow to Equity (FCFE)

FCFF and **FCFE** are valuation models based on discounted free cash flows. The **FCFF** model measures the cash flows that are available to both equity and debt holders after operating expenses, taxes, and reinvestment needs, but before interest payments. These cash flows are discounted at the firm's weighted average cost of capital (WACC) to give us the enterprise value. Net debt is then deducted to derive the equity value, which can be expressed on a per share basis. The **FCFE model**, by contrast, focuses on the cash flows available only to the equity holders after deducting effect of debt from FCFF. These cash flows are discounted using the cost of equity, producing an equity value without the need to adjust for debt.

The Enterprise and Equity Value are disproportionately large because the perpetuity formula is highly sensitive to the spread between WACC or Ke and the growth rate. The spread is inflating the valuation to unrealistically high levels.

FCFF and **FCFE** are not appropriate for PSH as investment income and realized gains are irregular and highly dependent on portfolio performance and does not consider NAV appreciation for shareholder value creation.

Market Based Valuation

PSH was compared with Intermediate Capital Group, Lion Finance Group, Caledonia Investments, Scottish Mortgage Investment Trust, F&C Investment Trust, M&G, Polar Capital Technology Trust, RIT Capital Partners on the basis of **PE ratio, Price to Book Value, Price to Revenue, Enterprise Value to Net Income**. Most of the metrics except Price to Book value includes unrealized gains and losses which are highly volatile due to accounting standards. PSH was found to be undervalued across all the metrics compared to competitors. This is due to its large cash reserves and easily marketable securities. This model is not reliable for determining the intrinsic worth of PSH.

Residual Income Valuation (RIV)

Residual Income Valuation highlights whether a company is creating or eroding value by comparing its excess of return on equity over the cost of equity. The model is useful when dividends or free cash flows do not fully reflect a firm's value creation, as it highlights whether management is generating returns above the required rate of return.

RIV was performed on PSH using ROE of 6.77% and Ke of 8.57% (CAPM) and 11.5% (FF3) for the year ending 2024.

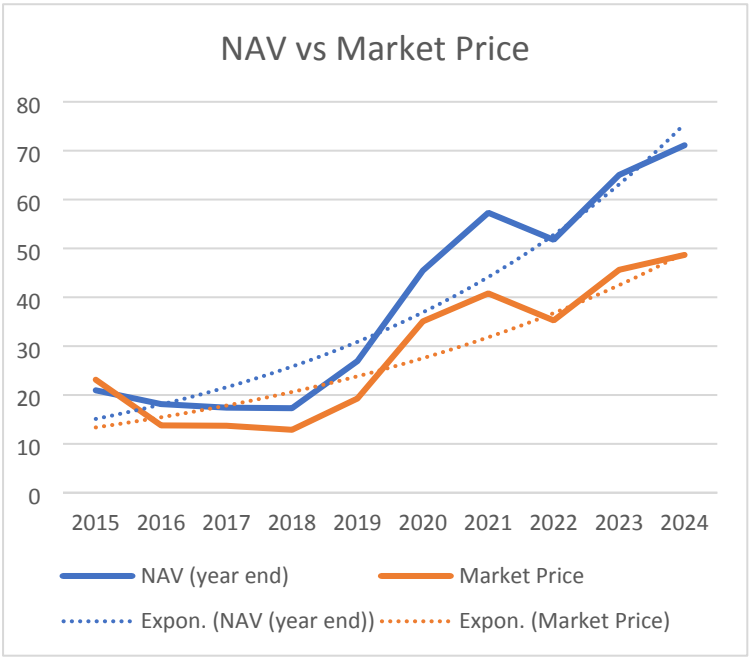
Single Stage RIV for CAPM was found to be $45.37 which is close to market price of $48.67 which means it is slightly overvalued and for FF3 was found to be $28.56 which means it is highly overvalued.

Two Stage Model RIV was found to be $71.06 for both Ke and comparing it to the market price of $48.67 means PSH is highly undervalued.

RIV is not reliable for determining the intrinsic worth of PSH as it depends on reported earnings which are dominated by unrealized gains and losses, which makes ROE highly volatile and not a stable predictor of value.

Net Asset Value (NAV) based Valuation

NAV-based valuation is the most appropriate framework for PSH because it is a closed-ended investment trust whose intrinsic worth is directly tied to the fair value of its underlying portfolio. Other valuation methods are distorted by accounting volatility such as unrealized gains or losses and do not reflect how investors ultimately measure performance of an investment company or its growth over time.



Investment trusts often trade at a discount to NAV because their share price is determined by market demand and supply, while NAV reflects the fair value of the underlying portfolio. Discounts are driven by factors such as investor sentiment, liquidity constraints, fee structures, governance perceptions, and broader market conditions.

The discount to NAV for PSH is 27%.

The NAV for 2024 using exponential forecasting under CAPM came to $67.57 giving an implied price of $49.33 and for FF3, NAV came to $57.61 with an implied price of 42.06. The market price of PSH for year ending 2024 was $48.67 which means that PSH is fairly valued under CAPM and overvalued under FF3.

The NAV for 2024 using calculated growth under CAPM came to $54.93 giving an implied price of $40.10 and for FF3, NAV came to $46.84 giving an implied price of $34.19. The market price of PSH for year ending 2024 was $48.67 which means that PSH overvalued under CAPM and FF3.

Valuation Summary and Decision

In this valuation report, multiple valuation models were applied to Pershing Square Holdings. While these models provide useful perspectives, they are distorted by accounting volatility such as unrealized gains and losses.

For PSH, NAV based valuation is the most appropriate model as it directly captures the fair value of the underlying portfolio and seems to be modestly overvalued which is consistent with supplementary models, although NAV remains the decisive model for assessing long term value.

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